

FLOOR AMENDMENT  
HOUSE OF REPRESENTATIVES  
State of Oklahoma

SPEAKER:

CHAIR:

I move to amend HB4338 \_\_\_\_\_  
Of the printed Bill  
Page \_\_\_\_\_ Section \_\_\_\_\_ Lines \_\_\_\_\_  
Of the Engrossed Bill

By deleting the content of the entire measure, and by inserting in lieu thereof the following language:

AMEND TITLE TO CONFORM TO AMENDMENTS

Adopted: \_\_\_\_\_  
Amendment submitted by: Anthony Moore  
\_\_\_\_\_  
Reading Clerk

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

FLOOR SUBSTITUTE  
FOR

HOUSE BILL NO. 4338

By: Moore, Newton, and Bashore  
of the House

and

Green of the Senate

FLOOR SUBSTITUTE

An Act relating to Oklahoma Brine Development Act; certain stating provisions shall be applicable after certain date; amending 17 O.S. 2021, Section 501, which relates to purpose; modifying legislative intent; amending 17 O.S. 2021, Section 502, which relates to definitions; modifying definitions; defining terms; amending 17 O.S. 2021, Section 503, which relates to Corporation Commission jurisdiction; modifying certain exception; requiring certain application have certain content; amending 17 O.S. 2021, Section 504, which relates to unitization of brine rights; requiring certain application be filed; updating statutory references; modifying certain description of certain unit; amending 17 O.S. 2021, Section 506, which relates to Commission's findings; modifying description of certain evidential findings; modifying description of certain unit; requiring certain orders remain applicable and serve as certain guidelines; amending 17 O.S. 2021, Section 507, which relates to delineation of unit area; modifying certain description; removing certain single source of supply requirement; authorizing produced water unit to be certain size; limiting the source of

1 supply; authorizing Corporation Commission to make  
2 certain determination; providing for the sharing and  
3 allocation of extracted elements; requiring operator  
4 maintain certain records; authorizing the commingling  
5 of certain produced water; providing for  
6 determination of gross production of extracted  
7 elements; amending 17 O.S. 2021, Section 508, which  
8 relates to plan of unitization; modifying description  
9 of certain unit; modifying certain plan requirements;  
10 modifying description of certain owners; stating  
11 certain provisions to inapplicable to formation of a  
12 produced water unit; authorizing possession and  
13 processing of produced water if certain conditions  
14 are met; requiring filing of application within  
15 certain time frame; authorizing proposed operator to  
16 seek certain emergency relief; requiring Commission  
17 grant relief upon certain showing; granting proposed  
18 applicant right to collect certain proceeds;  
19 requiring set royalty be held in suspense until final  
20 order establishes unit; detailing requirements for  
21 certain royalty rate; amending 17 O.S. 2021, Section  
22 510, which relates to increase or decrease of unit  
23 area size; modifying description of certain unit;  
24 modifying required showing for increase in existing  
unit size; amending 17 O.S. 2021, Section 516, which  
relates to pre-existing brine, solution gas or brine  
and solution gas units; updating statutory  
references; amending 17 O.S. 2021, Section 517, which  
relates to payment of proceeds; modifying language to  
include produced water; modifying information to be  
included with certain payments; amending 17 O.S.  
2021, Section 519, which relates to notice to surface  
owner of intent to drill; stating that certain  
provisions are inapplicable to the formation of a  
produced water unit; and declaring an emergency.

1 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

2 SECTION 1. NEW LAW A new section of law to be codified  
3 in the Oklahoma Statutes as Section 526 of Title 17, unless there is  
4 created a duplication in numbering, reads as follows:

5 The amendatory provisions of this act shall apply to all brine  
6 unitization applications filed with the Corporation Commission on or  
7 after the effective date of this act, but not otherwise.

8 SECTION 2. AMENDATORY 17 O.S. 2021, Section 501, is  
9 amended to read as follows:

10 Section 501. The Legislature finds that it is desirable and  
11 necessary to authorize and provide for unitized management,  
12 operation, and further development of brine and associated solution  
13 gas, to the end that a greater ultimate recovery of brine and  
14 solution gas may be had, waste prevented, and the correlative rights  
15 of owners therein be protected. In addition, the Legislature also  
16 finds that it is a desirable public policy and necessity to reduce  
17 disposal of brine water, also referred to as "produced water", from  
18 oil and gas operations, defined as "oil and gas produced water and  
19 waste" by Section 86.7 of Title 52 of the Oklahoma Statutes, and  
20 encourage reuse, recycling and reclaiming of said water and  
21 extraction of its constituent elements included therein. It is  
22 further found to be in the public interest to foster, encourage and  
23 promote the development and production in the State of Oklahoma of  
24 brine, produced water, and solution gas and to authorize and provide

1 for the operation and development of unitized brine, produced water,  
2 and solution gas properties, and to authorize the Corporation  
3 Commission to regulate brine, produced water utilized for the  
4 purpose of extracting its constituent elements included therein, and  
5 solution gas production. Produced water subject to the jurisdiction  
6 of the Oil and Gas Produced Water Recycling and Reuse Act, Section  
7 86.6 et seq. of Title 52 of the Oklahoma Statutes, shall not be  
8 governed by the Oklahoma Brine Development Act unless the produced  
9 water is intended to be or is processed for the commercial  
10 extraction and sale of constituent elements, or any one of them as  
11 set forth in Section 86.8 of Title 52 of the Oklahoma Statutes.

12 SECTION 3. AMENDATORY 17 O.S. 2021, Section 502, is  
13 amended to read as follows:

14 Section 502. As used in this act:

15 1. "Commission" ~~shall mean~~ means the Corporation Commission of  
16 Oklahoma;

17 2. "Person" ~~shall include~~ means any individual, partnership,  
18 corporation or association of whatever character;

19 3. ~~"Common source of supply"~~ Brine common source of supply  
20 ~~shall include that~~ means the area which that is underlain, or which,  
21 from geological or other scientific data, or from drilling  
22 operations, or other evidence, appears to be underlain by a common  
23 accumulation of brine; ~~provided, that, if.~~ If any such area is  
24 underlain or appears from geologic or other scientific data, or from

1 drilling operations, or from other evidence to be underlain by more  
2 than one common accumulation of brine separated from each other by a  
3 strata of earth and not connected with each other, then ~~such~~ the  
4 area, as to each said common accumulation of brine, shall be deemed  
5 a separate brine common source of supply. In either circumstance of  
6 a brine production unit or produced water unit, brine may be  
7 produced from multiple common sources of supply from one or more oil  
8 and gas wells or one or more brine wells, which shall all be  
9 considered the common source of supply for purposes of this act.  
10 Brine common source of supply specifically does not include or mean  
11 "common source of supply" as that term is defined by Section 86.1 of  
12 Title 52 of the Oklahoma Statutes;

13 4. "Brine" ~~shall mean~~ means subterranean saltwater and all of  
14 its constituent parts and chemical substances therein contained,  
15 including, but not limited to bromine, magnesium, potassium,  
16 lithium, boron, chlorine, iodine, calcium, strontium, sodium,  
17 sulphur, barium or other chemical substances produced with or  
18 separated from ~~such~~ the saltwater, and prior to its extraction from  
19 the ground, is the property of the owner of the surface estate, as  
20 defined in paragraph 9 of Section 802 of Title 52 of the Oklahoma  
21 Statutes. ~~Brine produced as an incident to the production of oil or~~  
22 ~~gas, unless such brine is saved or sold for the purposes of removing~~  
23 ~~chemical substances therefrom, shall not be considered brine for the~~  
24

1 ~~purposes of this act.~~ Gas, whether found in solution or otherwise,  
2 shall not be included within the meaning of the term "brine";

3 5. "Brine owner" ~~shall mean~~ means any person entitled to share  
4 in the proceeds from the sale of brine production or produced water,  
5 or the constituent elements or reclaimed water which are recovered  
6 from the brine production or produced water, or the effluent.

7 Pursuant to subsection C of Section 86.7 of Title 52 of the Oklahoma  
8 Statutes, nothing contained in the Oil and Gas Produced Water and  
9 Waste Recycling and Reuse Act shall be construed to prevent the  
10 owner of the surface estate from being considered the brine owner;

11 6. "Brine well" means a well specifically drilled or operated  
12 for the primary purpose of extracting brine and shall not include a  
13 well drilled or operated for the primary purpose of producing oil or  
14 gas;

15 7. "Solution gas" ~~shall mean~~ means all gas produced from brine  
16 wells from the brine common source of supply within the brine  
17 production unit area;

18 ~~7.~~ 8. "Solution gas owner" ~~shall mean~~ means any person entitled  
19 to share in the proceeds from the sale of solution gas;

20 ~~8.~~ 9. "Owner" or "owners" means, unless a more specific term is  
21 used, ~~shall mean~~ any person or entity who qualifies as either a  
22 brine owner or a solution gas owner;

23 ~~9.~~ 10. "Operator" ~~shall mean~~ means a person who:  
24

- 1        a.    has the right to drill into and produce from any brine  
2                common source of supply and to appropriate that  
3                production, either for ~~himself~~, the operator or for  
4                ~~himself~~ the operator and others,
- 5        b.    has the right to extract one or more of the  
6                constituent elements of brine or produced water  
7                produced as an incident to the production of oil and  
8                gas, and
- 9        c.    is authorized by the Commission to drill or extract  
10                such constituent elements;

11        ~~10.~~ 11.    "Effluent" ~~shall mean~~ means the liquid remaining after  
12        extraction of the chemical substances from brine;

13        ~~11.~~ 12.    "Brine production unit" ~~or "unit" shall mean~~ means each  
14        separate specific area of land so designated by order of the  
15        Commission for production of brine and associated solution gas ~~and~~  
16        ~~the~~ from brine wells, including the related injection of effluent;

17        13.    "Produced water unit" means the specific area of land so  
18        designated by order of the Commission for the commercial extraction  
19        and sale of constituent elements, or any one of the elements, or  
20        reclaimed water, from produced water. The Commission, based upon  
21        the facts and circumstances, shall determine the size and shape of  
22        any produced water unit. Unless a larger size unit is determined to  
23        be appropriate under the facts and circumstances, the produced water  
24        unit shall be the same size and cover the same geographical area as



1 the spacing or drilling unit or horizontal spacing unit created  
2 pursuant to Section 87.1 of Title 52 of the Oklahoma Statutes, the  
3 horizontal well unitization created pursuant to Section 87.9 of  
4 Title 52 of the Oklahoma Statutes, or unitized management area  
5 created pursuant to Sections 287.1 through 287.15 of Title 52 of the  
6 Oklahoma Statutes, of the associated oil or gas well or wells from  
7 which the produced water is derived. Each such produced water unit  
8 shall be limited to the equivalent same brine common source or  
9 sources of supply as the oil and gas common source or sources of  
10 supply of the associated oil or gas well from which produced water  
11 is being received for the extraction of constituent elements of such  
12 brine, unless a different size unit is determined to be appropriate  
13 under the facts and circumstances. A produced water unit may be  
14 created for and limited to the extraction of a single constituent  
15 element or multiple constituent elements. Multiple produced water  
16 units may be created and exist for the produced water from the same  
17 associated oil and gas well or wells, provided that the applicant  
18 for each unit meets the definition of "operator" provided in this  
19 section for the rights to each constituent element sought to be  
20 unitized. Furthermore, an applicant may seek to create two or more  
21 produced water units by and through the filing of a single  
22 Commission cause. Where multiple proposed produced water units are  
23 encompassed in a single cause, the applicant may prepare a single  
24 form plan of unitization, which if approved by the Commission, shall

1 collectively apply to each individual produced water unit  
2 encompassed by the single cause.

3 If the Commission has not previously established a drilling or  
4 spacing unit for the oil or gas well or wells from which the  
5 produced water is derived, the Commission shall in its discretion  
6 determine the size and shape of the produced water unit, taking into  
7 consideration all facts and circumstances including, but not limited  
8 to, the economics of collection, transportation, and processing  
9 produced water to recover any extracted constituent element.

10 ~~12.~~ 14. "Injection well" shall mean means a well authorized by  
11 the Commission for the injection of effluent or other solutions; ~~and~~

12 ~~13.~~ 15. "Manufacture" shall mean means the complete process of  
13 drilling, completing, equipping and operating production and  
14 injection wells and of extracting and packaging brine-;

15 16. "Oil or gas well" means a well drilled or operated for the  
16 primary purpose of extracting oil or gas as those terms are defined  
17 in Title 52 of the Oklahoma Statutes;

18 17. "Associated oil or gas production" means the oil or gas  
19 produced from an oil and gas well from which produced water is  
20 extracted as an incident to the production of the oil or gas and the  
21 produced water is utilized for the purpose of extracting its  
22 constituent elements therefrom;

23 18. "Constituent elements" means salts, metals, elements and  
24 other mineralized substances that are naturally occurring and

1 dissolved, entrained or suspended in subterranean water in situ and  
2 after extraction from the ground, suspended in the brine or produced  
3 water, but specifically does not include skim oil or hydraulic  
4 fracturing fluid;

5 19. "Extracted constituent element" means any constituent  
6 element extracted from the produced water through reconditioning or  
7 treating of the produced water by mechanical or chemical processes  
8 which is saved and commercially utilized or sold;

9 20. "Produced water" means the subterranean salt water, and the  
10 other liquid waste associated with, incidental to or extracted  
11 during oil and gas drilling, completion or production process.  
12 Produced water subject to the jurisdiction of the Oil and Gas  
13 Produced Water Recycling and Reuse Act shall not be governed by the  
14 Oklahoma Brine Development Act, unless the produced water is  
15 intended to be or is processed for the commercial extraction and  
16 sale of the constituent elements, or any one of them;

17 21. "Reclaimed water" means produced water that has been  
18 reconditioned or treated by mechanical or chemical processes during  
19 or after the extraction of one or more constituent elements for  
20 commercial purposes. Reclaimed water specifically does not include  
21 "recycled water" as that term is defined by Section 86.7 of Title 52  
22 of the Oklahoma Statutes for purposes of the Oil and Gas Produced  
23 Water and Waste Recycling and Reuse Act. A party who, for  
24 commercial purposes, treats produced water by mechanical or chemical

1 process for the extraction of one or more constituent elements such  
2 that the produced water becomes reclaimed water as defined herein  
3 shall not be liable in tort or otherwise, before or after custody  
4 transfer, for another party's use, handling, treatment or processing  
5 of such produced water or reclaimed water;

6 22. "Recycler" means a person approved and authorized by the  
7 Commission who receives produced water, for the purpose of saving,  
8 extracting, reconditioning or treating the same by mechanical or  
9 chemical processes into a reusable form; and

10 23. "Recycling waste" means the noncommercial by-products or  
11 residual liquids or solid materials which remain after the recycling  
12 or extraction process.

13 SECTION 4. AMENDATORY 17 O.S. 2021, Section 503, is  
14 amended to read as follows:

15 Section 503. A. The Corporation Commission is hereby vested  
16 with jurisdiction over the following:

17 1. The drilling for ~~and~~ or production of brine for commercial  
18 purposes;

19 2. Class V injection wells used for the injection or disposal  
20 of mineral brines as defined in the federal Safe Drinking Water Act  
21 and 40 CFR Part 146; and

22 3. Class V wells used to inject spent brine into the same  
23 formation from which it was withdrawn after extraction of halogens  
24 or their salts as defined in 40 CFR Part 146.

1 B. The Commission may promulgate ~~such~~ rules that:

2 1. ~~As are~~ Are reasonably necessary to effectuate the purposes  
3 of this act, including rules governing the drilling of production,  
4 injection or disposal wells and the injection of effluent into  
5 underground formations; and

6 2. ~~To ensure~~ Ensure that the drilling, casing and plugging of  
7 wells is done in such a manner as to prevent the escape of brine and  
8 effluent from one formation to another and to prevent the pollution  
9 of fresh water supplies throughout the state.

10 C. The enforcement and adherence to the Oklahoma Brine  
11 Development Act shall not apply to nor shall the Corporation  
12 Commission have jurisdiction over Class I, III, IV or V wells  
13 regulated by the Department of Environmental Quality pursuant to the  
14 federal Safe Drinking Water Act and 40 CFR Parts 144 through 148,  
15 inclusive, and the Oklahoma Environmental Quality Act.

16 SECTION 5. AMENDATORY 17 O.S. 2021, Section 504, is  
17 amended to read as follows:

18 Section 504. A. A party desiring to unitize brine or produced  
19 water rights shall file with the Corporation Commission an  
20 application setting forth a description of the proposed brine  
21 production unit or produced water unit area with a map or plat  
22 thereof attached. The application shall allege the existence of the  
23 facts required to be found by the Commission as provided in Section  
24 7 506 of this ~~act~~ title and allege that the party desiring to

1 unitize the brine or produced water rights meets the criteria of  
2 subparagraphs a and b of paragraph 10 of Section 502 of this title.

3 The application shall set forth the name and address of each brine  
4 owner within the area affected by the application. Each such person  
5 shall be a respondent to the application. In an application to  
6 enlarge the brine production unit or produced water unit area, brine  
7 owners within the existing unit and brine owners in the area to be  
8 added to the unit shall be respondents to the application.

9 B. In the event the brine ~~sought to be unitized~~ in a proposed  
10 brine production unit is found in association with solution gas, the  
11 application shall set forth the name and address of each solution  
12 gas owner within the area affected by the application. Each such  
13 person shall be a respondent to the application. In an application  
14 to enlarge the brine production unit area, solution gas owners  
15 within the existing brine production unit and solution gas owners in  
16 the area to be added to the brine production unit shall be  
17 respondents to the application.

18 C. Every application to establish a brine production unit or  
19 produced water unit shall have attached thereto a recommended plan  
20 of unitization applicable to the proposed unit area.

21 SECTION 6. AMENDATORY 17 O.S. 2021, Section 506, is  
22 amended to read as follows:

23 Section 506. A. If, after proper application and notice, the  
24 Commission in its hearing shall find by substantial evidence that:

1        1. There exists a brine common source of supply or prospective  
2 brine common source of supply for brine or produced water;

3        2. Unitized management, operation and further development of  
4 the brine common source of supply for brine or produced water from  
5 oil or gas wells is reasonably necessary in order to effectively  
6 develop the brine ~~common source of supply~~ and allow for the  
7 extraction of its constituent elements;

8        3. Unitized operation as applied to such brine common source of  
9 supply or produced water is feasible and will prevent waste and,  
10 with reasonable probability, will result in greater ultimate  
11 recovery of brine and its constituent parts;

12        4. Such unitization is for the common good and will result in  
13 the general advantage of the owners of the brine rights within the  
14 proposed brine production unit or produced water unit and will  
15 protect the correlative rights of the owners within the brine common  
16 source of supply or produced water; and

17        5. The creation of a brine production unit or produced water  
18 unit will accomplish one or more of the following:

- 19            a. avoid the drilling of unnecessary wells,
- 20            b. prevent waste,
- 21            c. protect correlative rights, ~~or~~
- 22            d. increase the ultimate recovery of brine from the brine  
23 common source of supply and unit covered by the  
24 application, or

1           e. allow recovery and extraction of constituent elements  
2           from produced water,

3 the Commission shall make a finding to that effect and enter an  
4 order creating the brine production unit or produced water unit, and  
5 requiring unitized operation of the prospective brine common source  
6 of supply or portion thereof described in the order.

7       B. If the Commission in its hearing shall find by substantial  
8 evidence that:

9       1. The proposed unit is a brine production unit, and not a  
10 produced water unit;

11       2. Solution gas exists within the brine common source of supply  
12 or prospective brine common source of supply;

13       ~~2.~~ 3. The production of brine is impossible or impractical  
14 without also producing the solution gas; and

15       ~~3.~~ 4. The unitization of the brine common source of supply is  
16 impractical or impossible without also unitizing the associated  
17 solution gas,

18 the Commission shall make a finding to that effect and shall further  
19 provide in its order for the unitization of the solution gas within  
20 the brine production unit area.

21       C. Orders of the Commission entered pursuant to Section 87.1 of  
22 Title 52 of the Oklahoma Statutes establishing drilling and spacing  
23 units for the production of oil, gas or oil and gas shall not be  
24 applicable to the drilling of brine wells ~~and~~ or the production of



1 solution gas from a brine production unit established by an order  
2 issued pursuant to this act. However, such drilling and spacing  
3 orders shall remain applicable to oil or gas wells and associated  
4 oil and gas production, and shall serve as general nonmandatory  
5 guidelines for establishing the size, shape, and common source of  
6 supply of any produced water unit established under this act.

7 SECTION 7. AMENDATORY 17 O.S. 2021, Section 507, is  
8 amended to read as follows:

9 Section 507. A. The order of the Corporation Commission shall  
10 define the area of the brine common source or sources of supply or  
11 portion thereof to be included within the brine production unit or  
12 the produced water unit area. ~~Each unit and unit area shall be~~  
13 ~~limited to all or a portion of a single common source of supply~~  
14 Unless a larger size unit is determined to be appropriate under the  
15 facts and circumstances, a produced water unit may be the same size  
16 and cover the same geographical area as the spacing or drilling unit  
17 or horizontal spacing unit created pursuant to Section 87.1 of Title  
18 52 of the Oklahoma Statutes, the horizontal well unitization created  
19 pursuant to Section 87.9 of Title 52 of the Oklahoma Statutes, or  
20 unitized management area created pursuant to Sections 287.1 through  
21 287.15 of Title 52 of the Oklahoma Statutes, of the associated oil  
22 or gas well or wells from which the produced water is derived. Each  
23 such produced water unit shall be limited to the equivalent common  
24 source or sources of supply as the oil and gas common source or

1 sources of supply in the associated oil or gas well from which  
2 produced water is being received for the extraction of constituent  
3 elements of such produced water, unless the Commission determines  
4 that the unitization of multiple brine common sources of supply is  
5 necessary to prevent waste or protect correlative rights.

6     B. Brine owners within the brine production unit shall share in  
7 the production of brine in the proportion that their acreage bears  
8 to total acreage within the unit, unless the Commission, after  
9 notice and hearing, shall provide for another method in the unit  
10 plan. Solution gas owners within the brine production unit shall  
11 share in production of solution gas in the proportion that their  
12 acreage bears to total acreage in the unit, unless the Commission,  
13 after notice and hearing, shall provide for another method in the  
14 unit plan.

15     C. Brine owners within the produced water unit shall share in  
16 the extracted constituent element or elements and any reclaimed  
17 water derived from the production of produced water in the  
18 proportion that their acreage bears to total acreage within the  
19 unit, subject to any applicable lease royalty or if unleased, the  
20 royalty set forth in the Commission order creating the produced  
21 water unit. In the event a produced water unit consists solely of  
22 lands situated within a single Oklahoma Corporation Commission  
23 approved multiunit horizontal well created pursuant to Section 87.8  
24 of Title 52 of the Oklahoma Statutes, the produced water from such

1 multiunit horizontal well shall be allocated and shared by the brine  
2 owners in each unit utilizing the same allocation factors approved  
3 by the Commission for allocating the associated oil and gas  
4 production to the individual units. The operator shall maintain  
5 records reflecting the total number of barrels of produced water  
6 received for processing from each oil and gas well and produced  
7 water unit. Produced water received from a produced water unit may  
8 be commingled with produced water from other produced water units or  
9 brine production units for the purpose of extracting constituent  
10 elements or reclaimed water. The gross production of constituent  
11 elements or reclaimed water obtained from each produced water unit  
12 shall be determined by the total volume of comingled produced water  
13 received from the associated produced water unit prior to the  
14 extraction of any constituent elements, and not by any other metric  
15 unless so ordered by the Commission for good cause shown.

16 SECTION 8. AMENDATORY 17 O.S. 2021, Section 508, is  
17 amended to read as follows:

18 Section 508. A. The plan of unitization for each such brine  
19 production unit or produced water unit ~~and unit area~~ shall be one  
20 suited to the needs and requirements of the particular unit  
21 dependent upon the facts and conditions found to exist with respect  
22 thereto. In addition to such other terms, provisions, conditions  
23 and requirements found by the Corporation Commission to be  
24 reasonably necessary or proper to effectuate or accomplish the

1 purpose of this act, and subject to the further requirements hereof,  
2 each such plan of unitization shall contain fair, reasonable and  
3 equitable provisions for:

4 1. The efficient unitized management or control of further  
5 development and operation of the brine production unit or produced  
6 water unit area. Under ~~such~~ the plan the actual operations of the  
7 unit shall be carried on by one of the owners of the right to drill  
8 for and produce brine within the unit area as unit operator or in  
9 the case of produced water associated with oil and gas production,  
10 by the operator of the produced water unit approved by the  
11 Commission. The designation of unit operator shall be by majority  
12 vote of the owners of the right to drill for and produce brine in  
13 the unit in accordance with their acreage ownership in the unit or  
14 as designated by the Commission in the case of produced water  
15 associated with oil and gas production;

16 2. The method and circumstances under which brine or effluent  
17 from the unit, or from any other source, may be injected into the  
18 brine common source of supply under the unit area or into other  
19 formations;

20 3. The fair, just and reasonable compensation to be awarded to  
21 any owner within the brine production unit or produced water unit  
22 who does not wish to participate in development of the unit by  
23 paying such owner's share of unit costs;

1        4. The fair, just and reasonable manner of participation for  
2 any owner desiring to participate in the development of the brine  
3 production unit or produced water unit by paying such owners share  
4 of unit costs;

5        5. The fair, just and reasonable allocation and distribution to  
6 each owner and the value of such owner's share of the brine,  
7 including the usable resources extracted from the brine, and  
8 solution gas, if any, produced from the unit;

9        6. The procedure and basis upon which wells, equipment and  
10 other properties of the owners within the brine production unit or  
11 produced water unit area are to be taken over and used for unit  
12 operations, including the method of arriving at the compensation  
13 therefor, or for otherwise proportionately equalizing the investment  
14 of the several owners in the unit;

15        7. The method of apportioning costs of development and  
16 operation between owners of brine and owners of solution gas, if  
17 solution gas has also been unitized;

18        8. The time when the plan of unitization shall become  
19 effective; and

20        9. The time when and conditions under which the unit shall or  
21 may be dissolved and all affairs concluded.

22        B. No order of the Commission creating a brine production unit  
23 and prescribing the plan of unitization applicable ~~thereto~~ to the  
24 brine production unit shall become effective unless and until the

1 plan of unitization has been signed, or in writing ratified or  
2 approved by record owners of the right to drill of not less than  
3 fifty-five percent (55%) of the brine production unit area affected  
4 thereby and by owners of record of not less than fifty-five percent  
5 (55%) (exclusive of royalty interest owned by lessees or  
6 subsidiaries of any lessee) of the royalty interest in and to the  
7 brine production unit area and the Commission has made a finding  
8 either in the order creating the unit or in a supplemental order  
9 that the plan of unitization has been so signed, ratified or  
10 approved by ~~lessees and royalty~~ brine owners of record owning the  
11 required percentage interest in and to the brine production unit  
12 area. Provided, however, in any instance where a ~~royalty~~ brine  
13 owner has, through lease or other agreement, previously authorized  
14 pooling or unitization of a size equal to or larger than the size  
15 specified in the Commission order, said lease or other agreement  
16 shall be deemed to be ~~such royalty~~ the brine owner's authorization  
17 to unitize, and no additional signature, ratification or approval  
18 shall be necessary from such owner, unless the lease provides for a  
19 different production sharing formula than set out in the plan of  
20 unitization. Further provided, however, in any instance where a  
21 ~~royalty owner has~~ the brine owners of record have, through lease or  
22 other agreement, previously consented to have the unit boundaries  
23 and the allocation formula established by the Commission, said lease  
24 or other agreement shall be deemed to be ~~such royalty~~ the brine

owner's authorization to unitize, and no additional signature, ratification or approval shall be necessary from such owner. Where the plan of unitization has not been so signed, ratified or approved by ~~lessees and royalty~~ brine owners of record owning the required percentage interest in and to the brine production unit area at the time the order creating the unit is made, the Commission shall hold such additional and supplemental hearings as may be requested or required to determine if and when the plan of unitization has been so signed, ratified or approved by ~~lessees and royalty~~ brine owners of record owning the required percentage interest in and to the brine production unit area and shall, in respect to such hearings, make and enter a finding of its determination in such regard. In the event ~~lessees or royalty~~ brine owners, ~~or either~~ of record, owning the required percentage interest in and to the brine production unit area have not so signed, ratified or approved the plan of unitization within a period of six (6) months from and after the date on which the order creating the brine production unit is made, the order creating the unit shall be deemed vacated and of no force and effect. The provisions of this subsection are hereby expressly made inapplicable to the formation of a produced water unit.

C. A participating brine owner shall have a one-time election to sell, and any brine owner in the unit with brine refining equipment shall have the obligation to buy, the brine produced from

1 the unit at the value determined by the Commission; provided  
2 however, nothing herein shall require the purchasing brine owner to  
3 purchase brine when it is not producing brine from the unit for its  
4 own account.

5 D. A party that meets the requirements of subparagraphs a and b  
6 of paragraph 10 of Section 502 of this title may take possession of,  
7 and process, produced water for the extraction of consistent  
8 elements that is otherwise destined for disposal, prior to obtaining  
9 an order from the Commission creating produced water unit, but in  
10 that event, the applicant shall file an application for the  
11 establishment of a produced water unit within sixty (60) days from  
12 the initial acceptance of the produced water. Upon the filing of an  
13 application for the establishment of a produced water unit and prior  
14 to the Commission's adjudication of such application, the applicant  
15 may, or shall in the instance where the applicant has accepted  
16 produced water prior to the approval of a produced water unit, seek  
17 emergency relief at the Commission for the immediate production,  
18 commercial extraction and sale of constituent elements or reclaimed  
19 water from produced water derived from the associated oil or gas  
20 well, and the Commission shall grant such relief upon a showing that  
21 such emergency relief is reasonable and necessary under the  
22 established facts and circumstances to prevent waste.

23 The applicant shall have the right to collect all proceeds from  
24 the sale of brine or its constituent elements and reclaimed water



1 prior to the entry of a final order establishing the produced water  
2 unit, provided that, unless otherwise provided by a written lease or  
3 contract with the brine owner, a set royalty share of the gross  
4 sales proceeds of the constituent elements and reclaimed water  
5 extracted, saved and sold, shall be held in suspense by the  
6 applicant for the benefit of any unleased brine owners within the  
7 proposed produced water unit until the Commission enters a final  
8 order establishing the produced water unit. Such royalty share and  
9 the royalty options set forth in the Commission's order approving  
10 the produced water unit shall be set by the Commission at prevailing  
11 fair market value rate and may be adjusted based upon all reasonable  
12 evidence introduced, including, but not limited to, evidence of the  
13 highest royalty paid for any arm's length negotiated brine leases  
14 within the produced water unit and any adjoining produced water  
15 unit.

16 SECTION 9. AMENDATORY 17 O.S. 2021, Section 510, is  
17 amended to read as follows:

18 Section 510. A. The Corporation Commission shall have  
19 jurisdiction to increase the size of an existing brine production  
20 unit or produced water unit area where it is shown, upon proper  
21 application, notice and hearing that:

22 1. Land adjacent to the existing unit is underlain by the same  
23 brine common source of supply as that found within the unit area;  
24 and

2. Inclusion of the additional land will either:

- a. increase unit efficiency, or
- b. result in greater ultimate recovery of brine or produced water, or
- c. prevent waste; and

3. Inclusion of the additional land is fair, just and reasonable, both to parties owning brine or produced water interests in the additional land and to parties owning interests in the existing unit; and

4. The requirements of Section ~~9~~ 508 of this ~~act~~ title have been met.

B. The Commission shall have jurisdiction to decrease the size of an existing brine production unit or produced water unit where it is shown, upon proper application, notice and hearing, that the land to be excluded is of no value to the unit because:

1. It is not underlain by the brine common source of supply; and

2. Its presence does not contribute to more efficient unit operations, by providing the site for an injection well or wells, or by assisting in the conduct of waterflood operations, or by otherwise increasing unit efficiency; and

3. Exclusion of the land is fair, just and reasonable.

SECTION 10. AMENDATORY 17 O.S. 2021, Section 516, is amended to read as follows:

1       Section 516. Sections ~~2~~ 501 through ~~16~~ 516 of this ~~act~~ title  
2 shall not have any effect on any existing brine, solution gas or  
3 brine and solution gas units which have been created voluntarily or  
4 by a judicial decree to the extent such unit was established as of  
5 ~~the date of this act~~ September 1, 1990. Any existing brine or brine  
6 and solution gas unit may be expanded using the provisions of this  
7 act.

8       SECTION 11.       AMENDATORY       17 O.S. 2021, Section 517, is  
9 amended to read as follows:

10       Section 517. A. The proceeds derived from the sale of brine,  
11 produced water, solution gas, or brine and solution gas production  
12 shall be paid to persons legally entitled thereto, commencing no  
13 later than six (6) months after the date of first sale, and  
14 thereafter no later than sixty (60) days after the end of the  
15 calendar month within which proceeds are received for subsequent  
16 production. In those instances where proceeds are not received for  
17 disposition of brine, produced water, solution gas, or brine and  
18 solution gas production due to venting, flaring, use for operations,  
19 nonpayment from purchasers, or any other cause, the time periods  
20 previously specified within which any required payment shall be paid  
21 to the persons legally entitled thereto shall be measured from the  
22 date on which such venting, flaring, use for operations, nonpayment  
23 or other event occurred. Provided, proceeds from the sale of brine,  
24 produced water, and solution gas from lands covered by a pending

1 application for unitization pursuant to this act shall be paid to  
2 persons legally entitled thereto within six (6) months from the  
3 entry of a final order of unitization, together with interest  
4 thereon at the rate of six percent (6%) per annum to be compounded  
5 annually, calculated from the date of first sale after the filing of  
6 the application for unitization. Such payment is to be made to  
7 persons entitled thereto by the operator of such production.  
8 Provided, such operator may remit to the persons entitled to such  
9 proceeds from production semiannually for the aggregate of six (6)  
10 months' accumulation of monthly proceeds of amounts less than  
11 Twenty-five Dollars (\$25.00). Further provided, that any delay in  
12 determining the persons legally entitled to an interest in such  
13 proceeds from production caused by unmarketable title to such  
14 interest shall not affect payments to persons whose title is  
15 marketable. Provided, however, that in those instances where such  
16 proceeds cannot be paid because the title thereto is not marketable,  
17 the operator of such production shall cause all proceeds due such  
18 interest to earn interest at the rate of six percent (6%) per annum  
19 to be compounded annually, calculated from the last day of the  
20 production month, until such time as the title to such interest has  
21 been perfected. Marketability of title shall be determined in  
22 accordance with the then current title examination standards of the  
23 Oklahoma Bar Association.

1 B. The following information shall be included with each  
2 payment made to a brine owner from the sale of brine:

3 1. Unit identification;

4 2. Month and year of sales included in the payment;

5 3. Total volume of production from the unit of brine, produced  
6 water, or solution gas and in the case of a brine production unit,  
7 the concentration of chemical substances contained therein and  
8 volumes extracted therefrom;

9 4. Owner's interest, expressed as a decimal, in production from  
10 the unit;

11 5. Total value of extracted chemical substances and solution  
12 gas, including the price per unit of measurement at which the  
13 products were sold;

14 6. Owner's share of the total value of sales prior to any  
15 deductions;

16 7. Owner's share of the total value of sales after any  
17 deductions; and

18 8. A specific detailed listing of the amount and purpose of any  
19 deductions, including, but not limited to BTU adjustments and taxes,  
20 from the gross proceeds due to the owner.

21 C. Any operator that violates this section shall be liable to  
22 the persons legally entitled to the proceeds from production for the  
23 unpaid amount of such proceeds with interest thereon at the rate of  
24

1 twelve percent (12%) per annum to be compounded annually, calculated  
2 from the last day of the production month.

3 D. The district court for the county in which the unit is  
4 located shall have jurisdiction over all proceedings brought  
5 pursuant to this section. The prevailing party in any proceeding  
6 brought pursuant to this section shall be entitled to recover any  
7 court costs and reasonable expert witness and ~~attorney's~~ attorney  
8 fees.

9 SECTION 12. AMENDATORY 17 O.S. 2021, Section 519, is  
10 amended to read as follows:

11 Section 519. Before entering upon a site for brine well  
12 drilling, except in instances where there are non-state resident  
13 surface owners, non-state resident surface tenants, unknown heirs,  
14 imperfect titles, surface owners, or surface tenants whose  
15 whereabouts cannot be ascertained with reasonable diligence, the  
16 operator shall give to the surface owner a written notice of his or  
17 her intent to drill containing a designation of the proposed  
18 location and the approximate date that the operator proposes to  
19 commence drilling.

20 Such notice shall be given in writing by certified mail to the  
21 surface owner. If the operator makes an affidavit that he or she  
22 has conducted a search with reasonable diligence and the whereabouts  
23 of the surface owner cannot be ascertained or such notice cannot be  
24 delivered, then constructive notice of the intent to drill may be

1 given in the same manner as provided for the notice of proceedings  
2 to appoint appraisers set forth in Section ~~22~~ 521 of this ~~act~~ title.

3 Within five (5) days of the date of delivery or service of the  
4 notice of intent to drill, it shall be the duty of the operator and  
5 the surface owner to enter into goodfaith negotiations to determine  
6 the surface damages.

7 The provisions of Sections 519 through 522 of this title are  
8 hereby expressly made inapplicable to the formation of a produced  
9 water unit.

10 SECTION 13. It being immediately necessary for the preservation  
11 of the public peace, health or safety, an emergency is hereby  
12 declared to exist, by reason whereof this act shall take effect and  
13 be in full force from and after its passage and approval.

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